Lecture 3.1: Risk, Return, and Diversification

Risk, Return, and Diversification

- Investors prefer more return and less risk
- In this lecture, we will focus on two concepts related to investors' preferences over return and risk
  1. The risk premium, which is the return we expect to receive for taking a certain amount of risk
  2. The Sharpe ratio, which tells us how much return we receive for each unit of risk we take

Computing Returns

- We will let $R_{s,t}$ denote the random return of stock s on date t

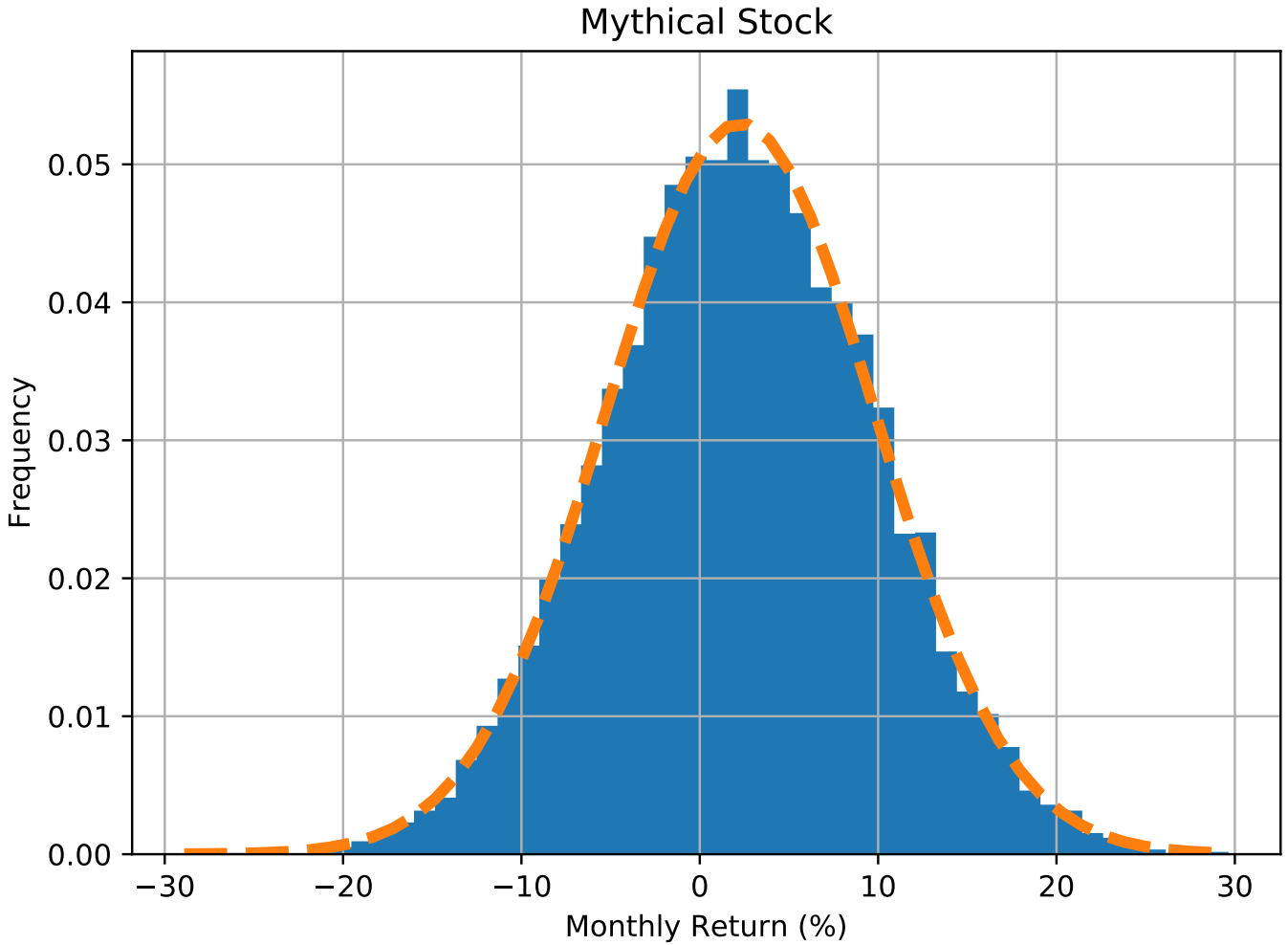
$$R_{s,t} = \frac{P_{s,t} + D_{s,t} - P_{s,t-1}}{P_{s,t-1}} \tag{1}$$

- We will focus on monthly returns, although you can just as well think of hourly, daily, weekly, monthly, yearly returns

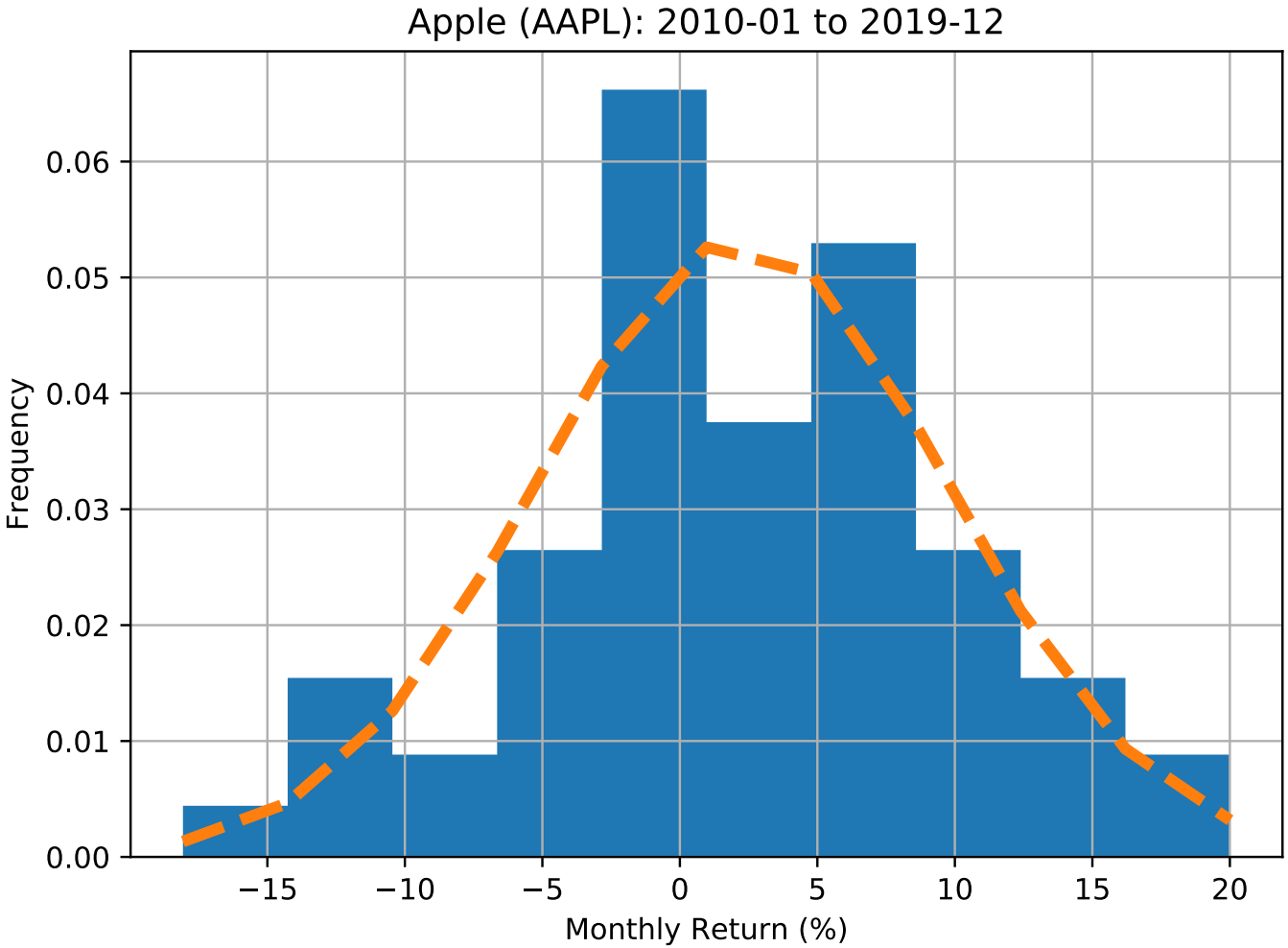
The Normal Distribution

- Assumption: returns are normally distributed
- Consequently, the returns of a portfolio are also normally distributed
- The returns of a portfolio are characterized by three attributes of its constituent stocks:
  1. the mean return of each stock;
  2. the standard deviation (volatility) of each stock;
  3. the covariance between each pair of stocks.

The Normal Distribution



The Normal Distribution



Mean

- We denoted by $\mathrm{E}[R_s]$ the mean, or expectation of R_s
- It is just a <u>number</u>
- It tells what the typical return
- The mean is expressed in "%"
- Our <u>estimate</u> of the mean return for stock s is

$$\mu_s = \frac{1}{N} \sum_{t=1}^{N} R_{s,t}$$

where $R_{s,t}$ are the <u>realized</u> returns

Variance

- We denoted by $\mathrm{Var}[R_s]$ the variance of R_s
- The variance is used to construct the standard deviation
- The variance does <u>not</u> have units
- Our <u>estimate</u> of the variance of stock s is

$$\sigma_s^2 = \frac{1}{N-1} \sum_{t=1}^{N} (R_{s,t} - \mu_s)^2$$

- The "$N-1$" makes the estimator unbiased

Standard Deviation

- We denote by $\mathrm{SD}[R_s]$ the standard deviation or <u>volatility</u> of R_s
- It is our measure of <u>risk</u>
- The standard deviation is $\mathrm{SD}[R_s] = \sqrt{\mathrm{Var}[R_s]}$
- It is expressed in "%"

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- The standard deviation is $\mathrm{SD}[R_s] = \sqrt{\mathrm{Var}[R_s]}$
- It is expressed in "%"
- Our estimate in the Apple (AAPL) example is $12.0304\% = \sqrt{0.014473}$
- Our estimate in the Home Depot (HD) example is $7.2877\% = \sqrt{0.005311}$

Covariance

- Let's think about two stocks, A and B
- We denote by $\text{Cov}[R_A, R_B]$ the covariance between the returns on A and B
- The covariance is used to construct the correlation
- The covariance does <u>not</u> have units
- Our <u>estimate</u> of the covariance is

$$\sigma_{A,B} = \frac{1}{N-1} \sum_{t=1}^{N} (R_{A,t} - \mu_A)(R_{B,t} - \mu_B)$$

Correlation

- We denote by $\mathrm{Corr}[R_A, R_B]$ the correlation between the returns of A and B
- It is given by

$$\mathrm{Corr}[R_A, R_B] = \frac{\mathrm{Cov}[R_A, R_B]}{\mathrm{SD}[R_A]\mathrm{SD}[R_B]}$$

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Our estimate in the Apple, Home Depot example is

$$\begin{aligned}\text{Corr}[R_{AAPL}, R_{HD}] &= \frac{\text{Cov}[R_{AAPL}, R_{HD}]}{\text{SD}[R_{AAPL}]\text{SD}[R_{HD}]} \\ &= \frac{0.005788}{.0120304 \times 0.072877} = 0.6602\end{aligned}$$

Correlation

The correlation is between -1 and $+1$, with a correlation of -1 meaning perfectly negatively correlated (A goes up, B goes down), a correlation of 0 meaning they are not correlated at all (A's return doesn't tell us anything about B's return), and a correlation of $+1$ meaning perfectly positively correlated (A goes up, B goes up)

Portfolio of Two Stocks

- We are going to focus on portfolios with two stocks
- All of the computations that follow can be done with an arbitrary number of stocks — we just need some linear algebra
- Consider a portfolio with x_A in stock A and x_B in stock B
- x_A and x_B must sum to one: $x_A + x_B = 1$
- $x > 1$ means we are borrowing (or financing with short)
- $x < 0$ means we are shorting
- The random return of the portfolio is

$$R_P = x_A R_A + x_B R_B$$

Mean and Volatility

- The mean return of the portfolio is

$$\mathrm{E}[R_P] = x_A \mathrm{E}[R_A] + x_B \mathrm{E}[R_B]$$

- The variance of the portfolio is

$$\mathrm{Var}[R_P] = x_A^2 \mathrm{Var}[R_A] + x_B^2 \mathrm{Var}[R_B] + 2 x_A x_B \mathrm{Cov}[R_A, R_B]$$

- Therefore, the volatility of the portfolio is

$$\mathrm{SD}[R_P] = \sqrt{\mathrm{Var}[R_P]}$$

Mean and Volatility

What is the mean return and volatility of a portfolio that is 25% in Apple (AAPL) and 75% in Home Depot (HD)?

Mean and Volatility

What is the mean return and volatility of a portfolio that is 25% in Apple (AAPL) and 75% in Home Depot (HD)? The mean return is

$$\mu_P = .25 \times (4.1767\%) + .75 \times (4.2167\%) = 4.2067\%$$

The variance is

$$\begin{aligned}\sigma_P^2 &= (.25)^2(0.014473) + (.75)^2(0.005311) + 2(.25)(.75)(0.005788) \\ &= 0.006063\end{aligned}$$

and hence the volatlity is

$$\sigma_P = \sqrt{0.006063} = 7.7862\% \tag{2}$$

Risk Premia

Risk-Free Asset

- The risk-free rate is the rate of return that can be earned with certainty
- The risk-free asset is the asset that yields a risk-free return
- We take US Treasuries to be risk-free assets and Treasury yields to be the risk-free return
- Let's call the risk-free rate R_F

Risk Premia

- The risk premium is the expected excess return over the risk-free rate

$$\mathrm{RP}[R_P] = \mathrm{E}[R_P] - R_F \tag{3}$$

- It is the return we earn for taking risk: higher risk stocks will generally have higher risk premia, safer stocks will generally have lower risk premia
- If the portfolio P is risk-free, its risk-premium will be zero

Risk Premia

The mean monthly return on the market from 1929 to 2019 was 0.9379%. The mean monthly return on US T-bills was 0.2732%. What was the market risk premium over this period?

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The monthly market risk premium was

$$\mathrm{RP}[R_{\mathrm{Market}}] = 0.9379\% - 0.2732\% = 0.6647\% \tag{4}$$

This is how much the market had to compensate investors for the risk they were taking.

Sharpe Ratio

Sharpe Ratios

- The Sharpe ratio is the ratio of a portfolio's risk premium to its standard deviation:

$$\mathrm{SR}[R_P] = \frac{\mathrm{RP}[R_P]}{\mathrm{SD}[R_P]} = \frac{\mathrm{E}[R_P] - R_F}{\mathrm{SD}[R_P]} \tag{5}$$

  where $\mathrm{E}[R_P]$ and $\mathrm{SD}[R_P]$ are the mean and standard deviation of the return on the portfolio respectively
- It is the return we earn for each unit of risk we take

Sharpe Ratios

The mean monthly standard deviation of market returns from 1929 to 2019 was 5.3324%. What was the market Sharpe ratio over this period?

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The monthly market risk premium was

$$\mathrm{SR}[R_{\mathrm{Market}}] = \frac{.6647\%}{5.3324\%} = 0.1247 \tag{6}$$

Stock Indices

Return on Value-Weighted Index (E.g. S&P 500)

- N stocks, $j = 1, 2, \ldots, N$; $p_{j,t}$ price of stock j on date t; $r_{j,t}$ total return on stock j from date t to date $t+1$; n_j number of shares of stock j
- $n_j p_{j,t}$ is j's market capitalization (cap) on date t
- The level of the index is

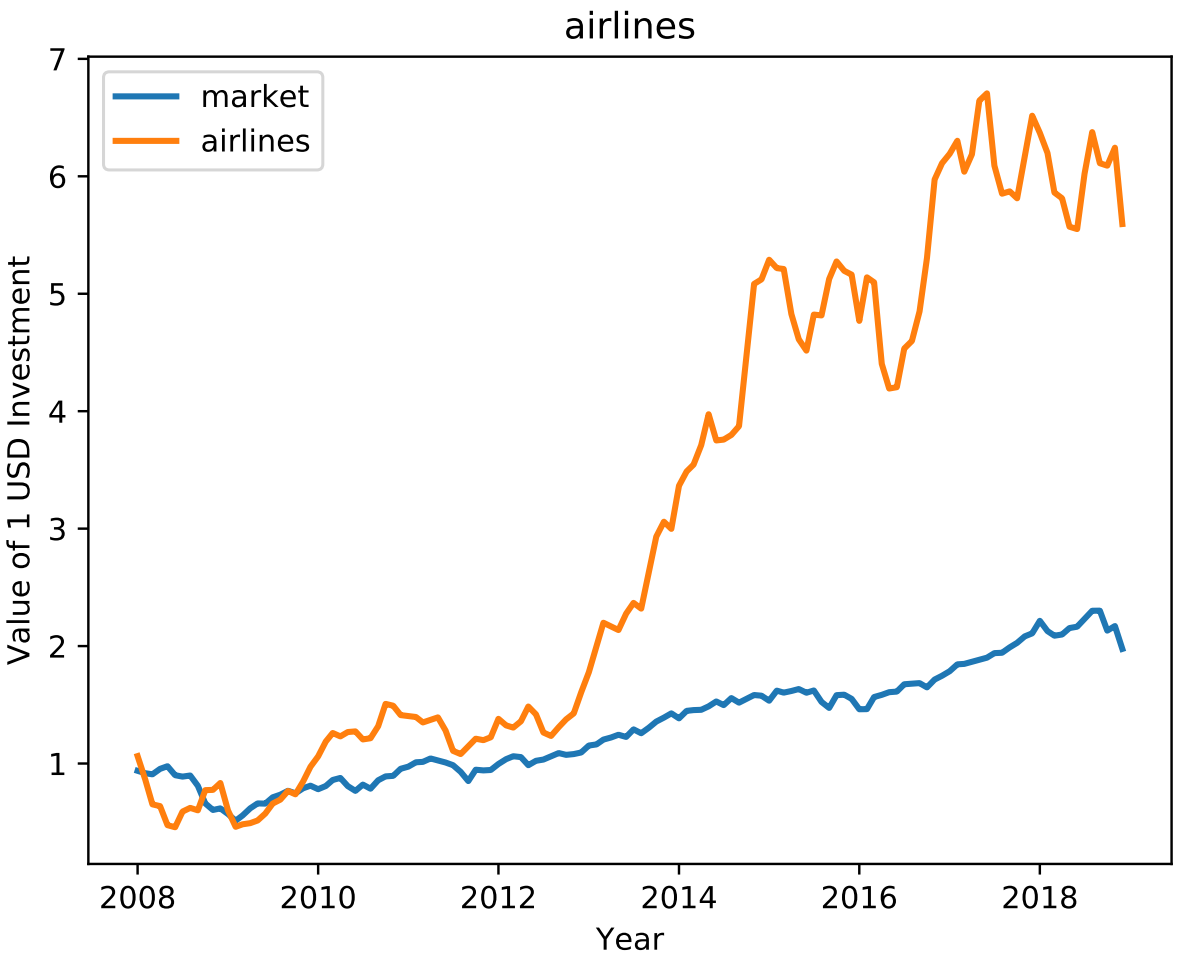
$$V_t = n_1 p_{1,t} + n_2 p_{2,t} + \cdots + n_N p_{N,t} \tag{7}$$

- The *return* of the index is

$$\frac{n_1 p_{1,t}}{V_t} r_{1,t} + \frac{n_2 p_{2,t}}{V_t} r_{2,t} + \cdots + \frac{n_N p_{N,t}}{V_t} r_{N,t} \tag{8}$$

- **Important:** the rate of return on a value-weighted index is the rate of a return on a portfolio that buys-and-holds all of the shares of all of the securities that make up the index

Airlines


airlines
market
airlines
Value of 1 USD Investment
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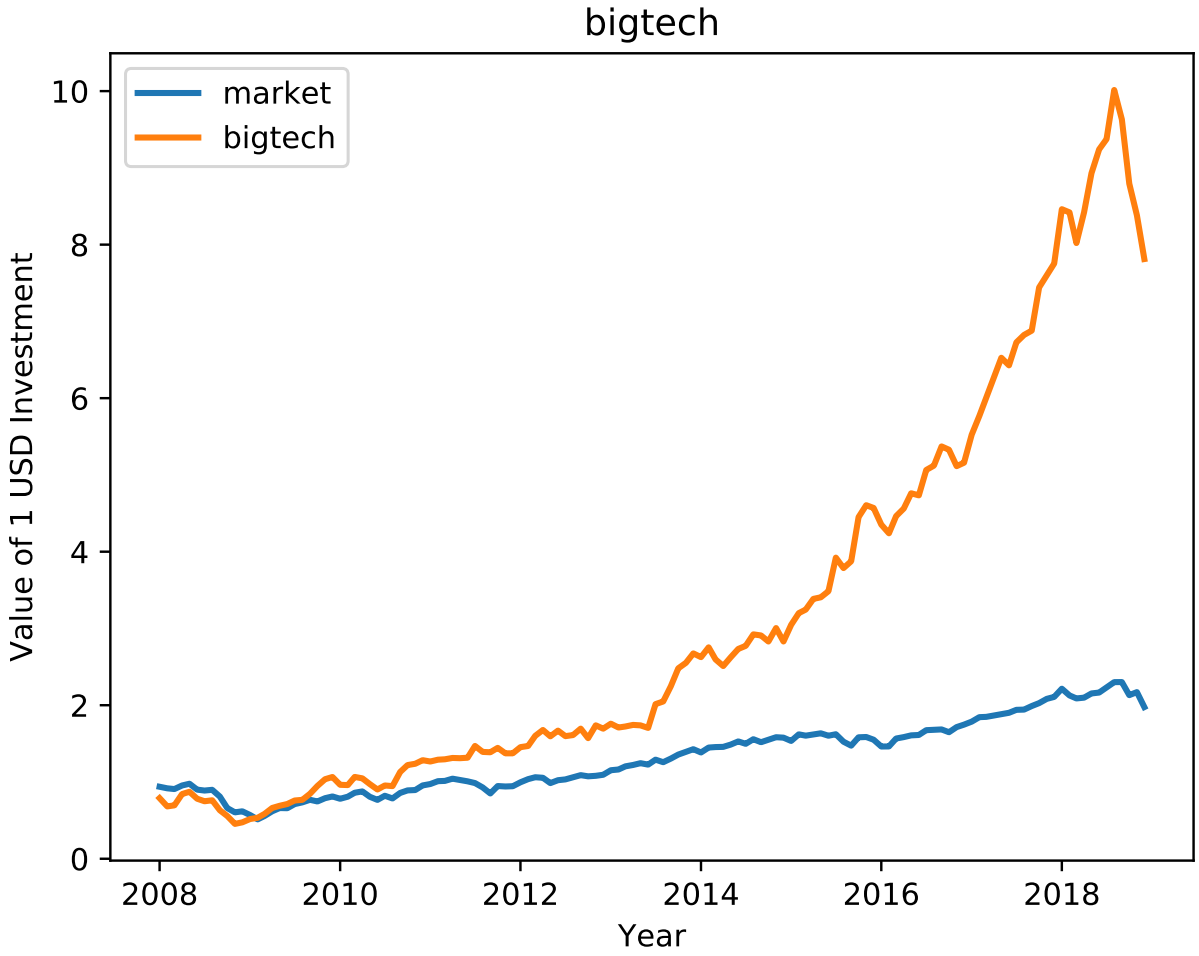
Year

Big Tech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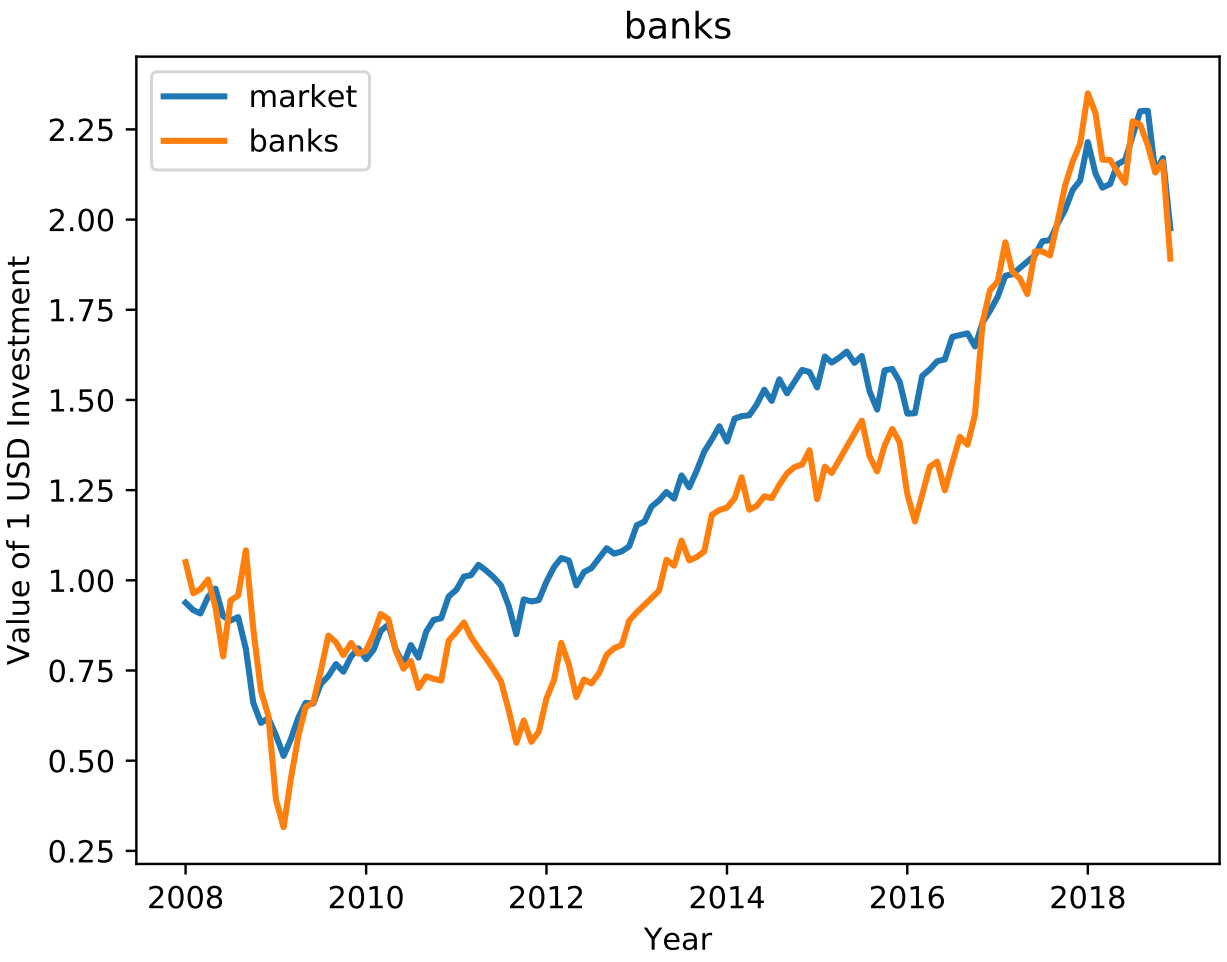
Banks


banks
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Value of 1 USD Investment
2008
2010
2012
2014
2016
2018
Year

Example

The following data are from 2014-03-01. What is the value-weighted return of the portfolio?

Stock	**Cap**	**Return**
American (AAL)	23.7883	7.7%
Alaska (ALK)	6.4221	5.39%
Delta (DAL)	29.431	-4.18%
Southwest (LUV)	16.574	-0.73%
United (UAL)	16.5825	4.34%

market cap in billions of USD, returns monthly total returns

Example

To find the value-weighted return...

Stock	**Cap**	**W**eight	**R**eturn	**W**×**R**
American (AAL)	23.7883	0.2563	7.7%	1.9739%
Alaska (ALK)	6.4221	0.0692	5.39%	0.373%
Delta (DAL)	29.431	0.3172	-4.18%	-1.3257%
Southwest (LUV)	16.574	0.1786	-0.73%	-0.1304%
United (UAL)	16.5825	0.1787	4.34%	0.7755%
Portfolio	92.7979	1.0		1.6663%

market cap in billions of USD, returns monthly total returns

Diversification

Introduction: Diversification

- In this lecture, we begin our study of portfolio design
- In order to properly design portfolios, we need to understand how the returns of the stocks in the portfolio co-move (covary, correlate, etc.)
- We will learn that by choosing stocks that do not co-move too much, we can lower the risk of the portfolio without sacrificing return
- This is known as diversification
- We will introduce diversification with three stylized examples

Moral #1

Suppose that $R_F = 0$. Consider two stocks, A and B:

Stock	$E[R]$	$SD[R]$	$SR[R]$
A	5%	20%	0.25
B	4%	20%	0.20

Stock B's Sharpe ratio is smaller than that of stock A. Why would anyone <u>ever</u> buy stock B?

Moral #1

Suppose that A and B have a correlation of 0.5. Then

$$\begin{aligned}
\mathrm{Var}[R_P] &= x_A^2 \mathrm{SD}[R_A]^2 + x_B^2 \mathrm{SD}[R_B]^2 + 2x_A x_B \mathrm{Cov}[R_A, R_B] \\
&= x_A^2 \mathrm{SD}[R_A]^2 + x_B^2 \mathrm{SD}[R_B]^2 \\
&\qquad + 2x_A x_B \mathrm{SD}[R_A]\mathrm{SD}[R_B]\mathrm{Corr}[R_A, R_B] \\
&= (.5)^2(.2)^2 + (.5)^2(.2)^2 + 2(.5)(.5)(.2)(.2)(.5) \\
&= .03
\end{aligned}$$

and hence $\mathrm{SD}[R_P] = 17.3205\%$.

Moral #1

Take a portfolio-based perspective:

x_A	x_B	$E[R]$	$SD[R]$	$SR[R]$
100%	0%	5%	20%	0.25
0%	100%	4%	20%	0.20
50%	50%	4.5%	17.3205%	0.2598

The new portfolio returns less than stock A on average (4.5% instead of 5%), but has less volatility (17.3205% instead of 20%).

Moral: a low-Sharpe ratio stock can increase the portfolio-Sharpe ratio above the Sharpe ratios of any of the constituent stocks

Moral #2

Suppose that $R_F = 0$. Consider three stocks: A, B, and C. For each stock, $E[R] = 5\%$ and $SD[R] = 20\%$. Therefore, all stocks have a Sharpe ratio of 0.25. The correlations are

$$\text{Corr}[R_A, R_B] = 0.75$$
$$\text{Corr}[R_B, R_C] = 0.50$$
$$\text{Corr}[R_A, R_C] = 0.25$$

Suppose you can only pick two of the three stocks. Which pair would you choose? Suppose that you invest equally in the two stocks.

Moral #2

Let's compute the Sharpe ratios of each of the three portfolios.

x_A	x_B	x_C	Corr	E[R]	SD[R]	SR[R]
50%	50%	0%	0.75	5%	18.7083%	0.2673
0%	50%	50%	0.50	5%	17.3205%	0.2887
50%	0%	50%	0.25	5%	15.8114%	0.3162

We should choose the portfolio with stocks A and C.

Moral: By choosing less correlated stocks, we can increase the portfolio-Sharpe ratio <u>without</u> sacrificing return.

Moral #3

Suppose that $R_F = 0$. Consider three stocks: A, B, and C. For each stock, $E[R] = 5\%$ and $SD[R] = 20\%$. Therefore, all stocks have a Sharpe ratio of 0.25. The correlations are

$$\text{Corr}[R_A, R_B] = +1$$
$$\text{Corr}[R_A, R_C] = -1$$

What are the expected returns, volatilities, and Sharpe ratios of each of the pairs?

Moral #3

Let's compute the Sharpe ratios of each of the three portfolios.

x_A	x_B	x_C	Corr	E[R]	SD[R]	SR[R]
50%	50%	0%	$+1$	5%	20%	.25
50%	0%	50%	-1	5%	0%	?

We should choose the portfolio with stocks A and C. This portfolio is perfectly hedged. It is equivalent to a risk-free asset.

Moral: Perfectly positively correlated stocks behave like one stock, while perfectly negatively correlated stocks behave like the risk-free asset

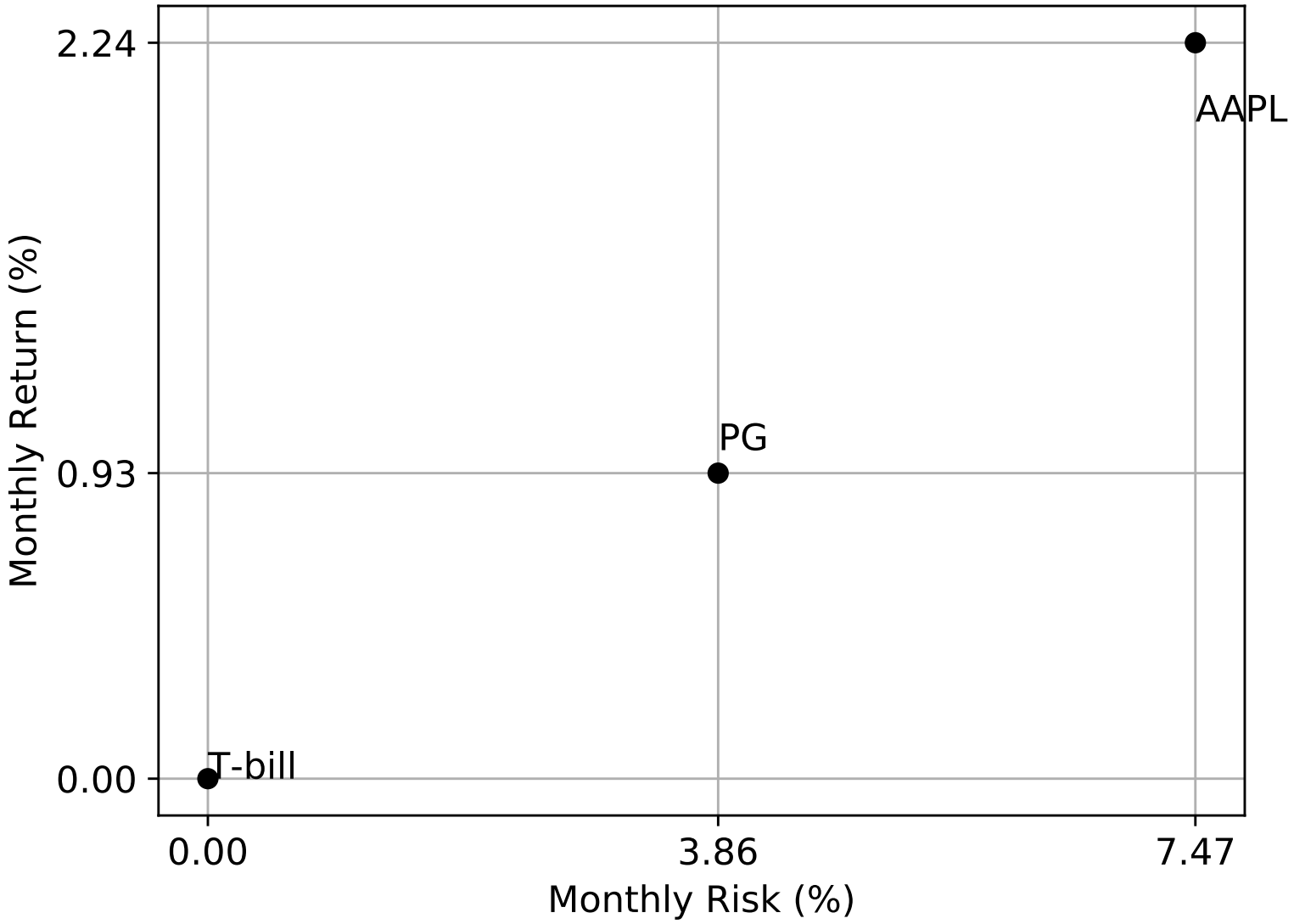
Risk-Return Space

- Let's look at Apple (AAPL) and Proctor & Gamble (PG)
- Their returns have a correlation of 0.3162

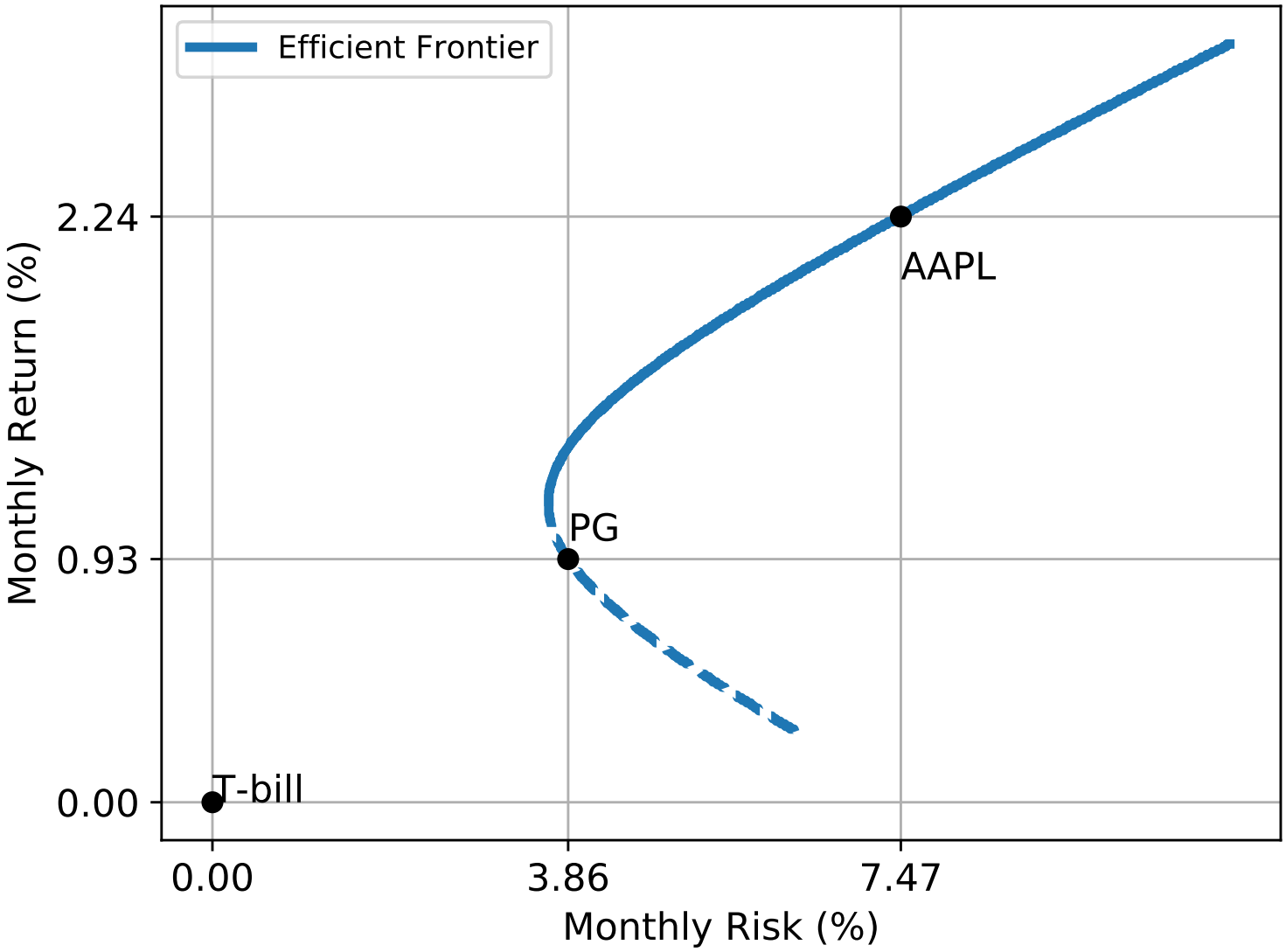
Stock	$E[R]$	$SD[R]$	$SR[R]$
AAPL	2.24%	7.47%	0.3133
PG	0.93%	3.86%	0.2409

- Let's plot this information in risk-return space

Risk-Return Space



Risk-Return Space: Efficient Frontier



Risk-Return Space: Efficient Frontier

- For two stocks, the efficient frontier is the graph of the risks and returns of each portfolio containing the two stocks
- For example, a portfolio that is 100% in Apple and 0% in P&G corresponds to the point labelled AAPL; a portfolio that is 0% in Apple and 110% in P&G corresponds to the point labelled PG; a portfolio that is 50% in Apple and 50% in P&G corresponds to a point along the blue line between AAPL and PG; a portfolio that is 150% in Apple and -50% in P&G corresponds to a point along the blue line north-east of AAPL
- Portfolios associated with points along the dashed line are inefficient, in the sense that for each such portfolio (associated with a point on the bottom of the graph), one can find a portfolio with the same risk but a higher return (associated with a point on the top of the graph)

Moral #4

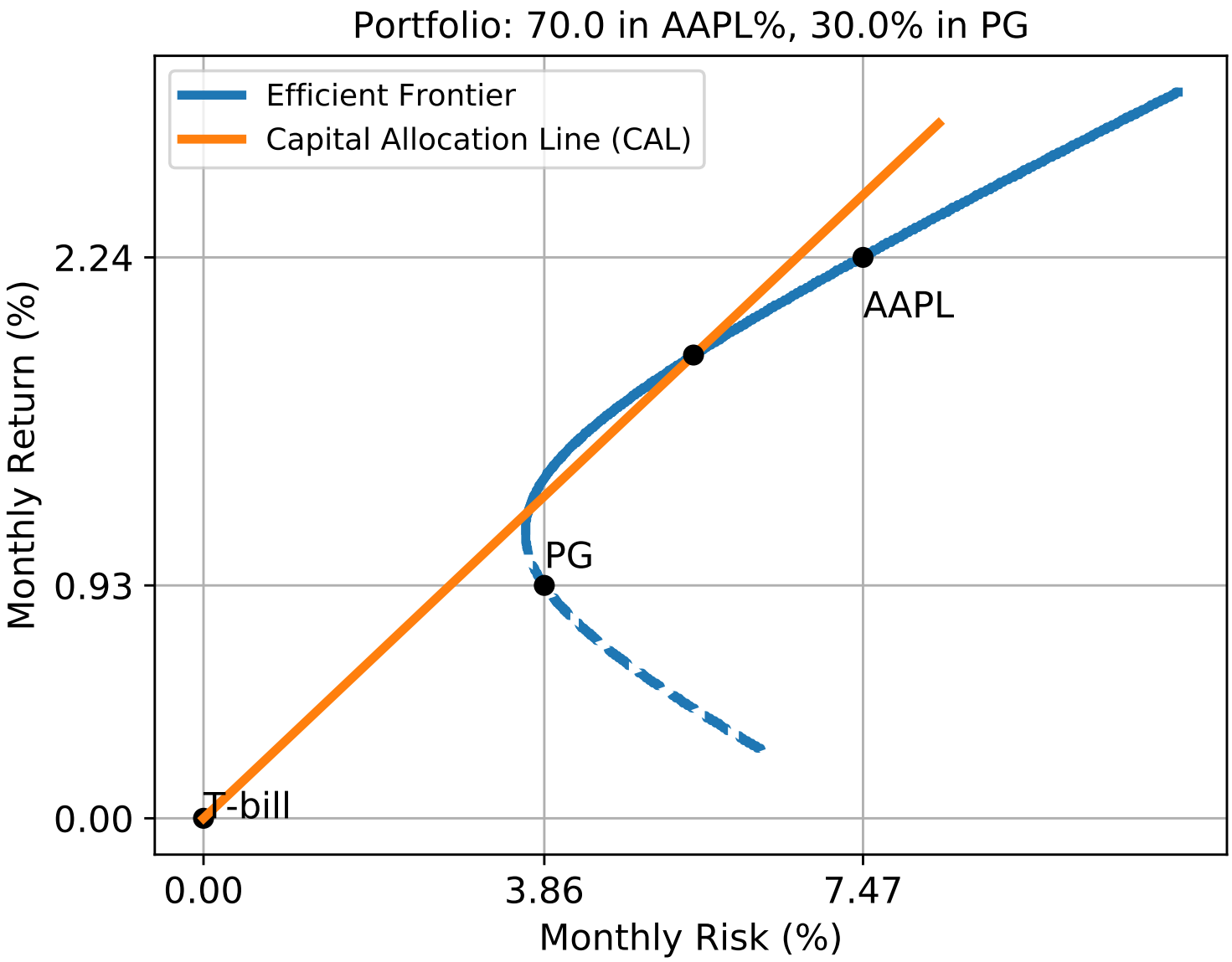
Suppose you construct a portfolio that is $+150\%$ in AAPL and -50% in PG. Discuss the sequence of cash flows when you initiate the position.

Moral #4

Suppose you construct a portfolio that is $+150\%$ in AAPL and -50% in PG. Discuss the sequence of cash flows when you initiate the position.

Suppose you have 10k USD of capital. Short PG. You collect 5k USD. Together with your 10k USD, buy 15k of AAPL.

Risk-Return Space: Capital Allocation Line (CAL)



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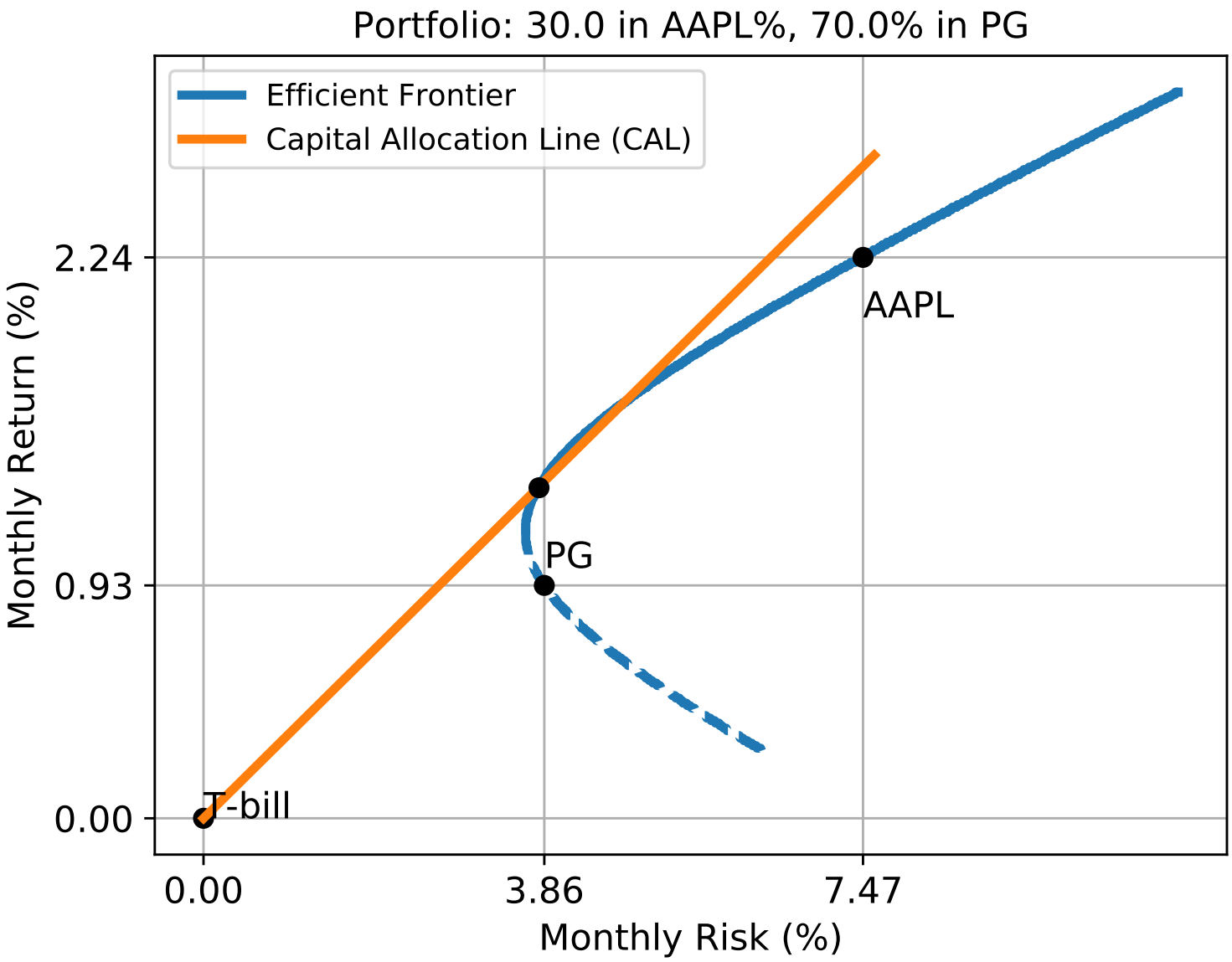


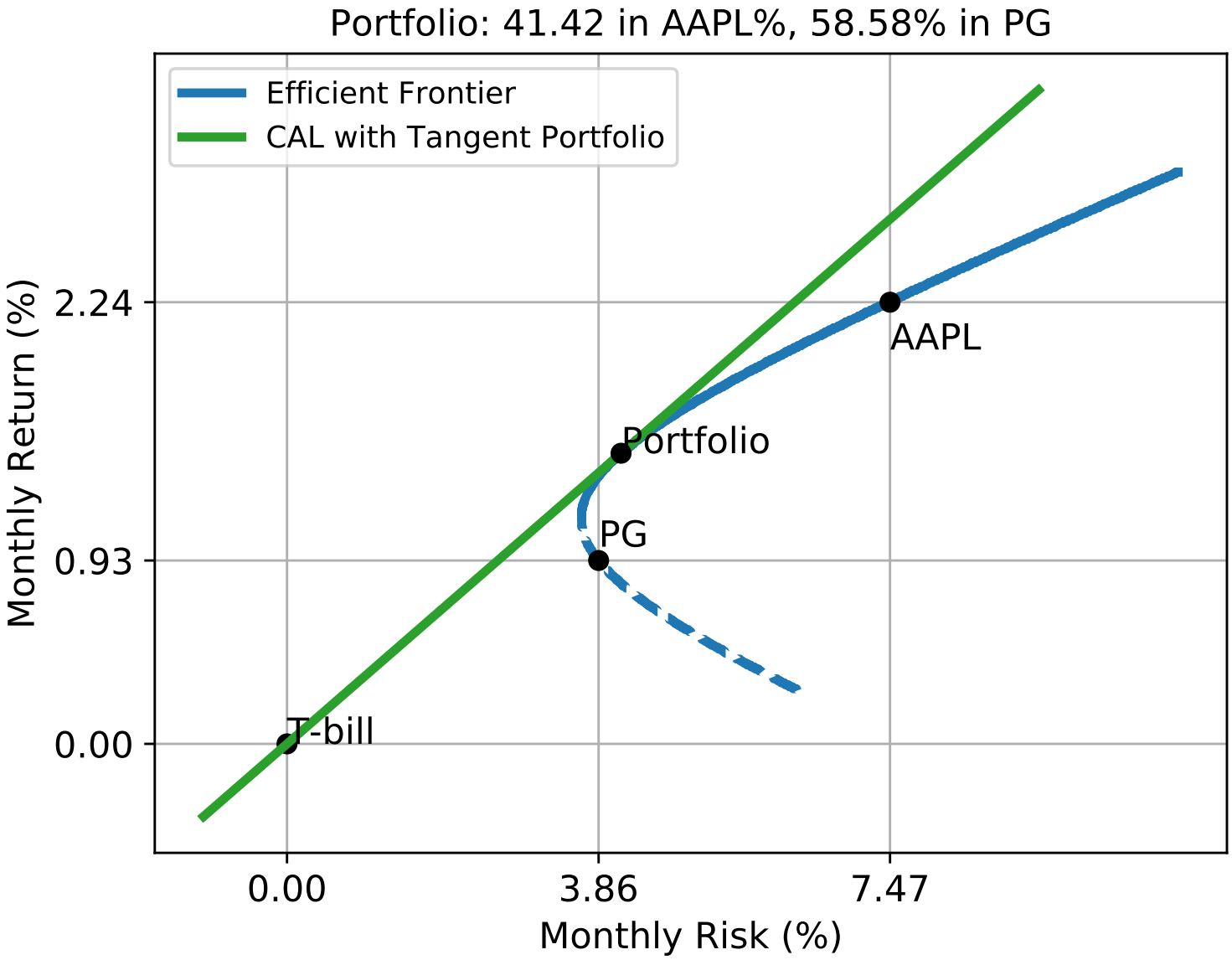
Risk-Return Space: Capital Allocation Line (CAL)

You can use the formula for the volatility of a two stock portfolio with one "stock" being T and the other stock being the risk free. You'll find that

$$\mathrm{E}[R_P] = x\mathrm{E}[rR_T] + (1-x)R_F \tag{9}$$

$$\mathrm{SD}[R_P] = x\mathrm{SD}[R_P] \tag{10}$$

Risk-Return Space: Tangency Portfolio



Risk-Return Space: Capital Allocation Line (CAL)

- The Capital Allocation Line (CAL) consists of the risks and returns of each portfolio containing the risk-free asset and (a portfolio of) the two stocks
- We can construct CALs for any portfolio: we have constructed CALs (the orange lines) for portfolios that are 70% in Apple, 30% in P&G; 70% in Apple, 30% in P&G)
- By pushing the CAL as far north-west as we can while still intersecting the risk-free asset and the efficient frontier, we obtain the tangency portfolio and its CAL (the green line)
- It so happens that this portfolio is 41.42% in Apple and 58.58% in P&G

Tangency Portfolio

- Among all CALs, the one that includes the tangency portfolio has the highest Sharpe Ratio
- To compute the weights of the tangency portfolio, define

$$\widetilde{x}_A = \mathrm{SD}[R_B](\mathrm{SR}[R_A] - \mathrm{SR}[R_B]\mathrm{Corr}[R_A, R_B])$$
$$\widetilde{x}_B = \mathrm{SD}[R_A](\mathrm{SR}[R_B] - \mathrm{SR}[R_A]\mathrm{Corr}[R_A, R_B])$$

The weights of the tangency portfolio are

$$x_A = \frac{\widetilde{x}_A}{\widetilde{x}_A + \widetilde{x}_B}$$
$$x_B = \frac{\widetilde{x}_B}{\widetilde{x}_A + \widetilde{x}_B}$$

Many Stocks

- Thus far, we have studied portfolios consisting of two stocks
- What about portfolios consisting of more than two stocks?
- Consider $N \geq 2$ stocks, $1, 2, \ldots, N$
- The general problem is to choose weights $x_1, x_2, \ldots, x_N$ to minimize the portfolio variance

$$\mathrm{Var}[R_P] = \mathrm{Var}[x_1 R_1 + x_2 R_2 + \cdots + x_N R_N] \tag{11}$$

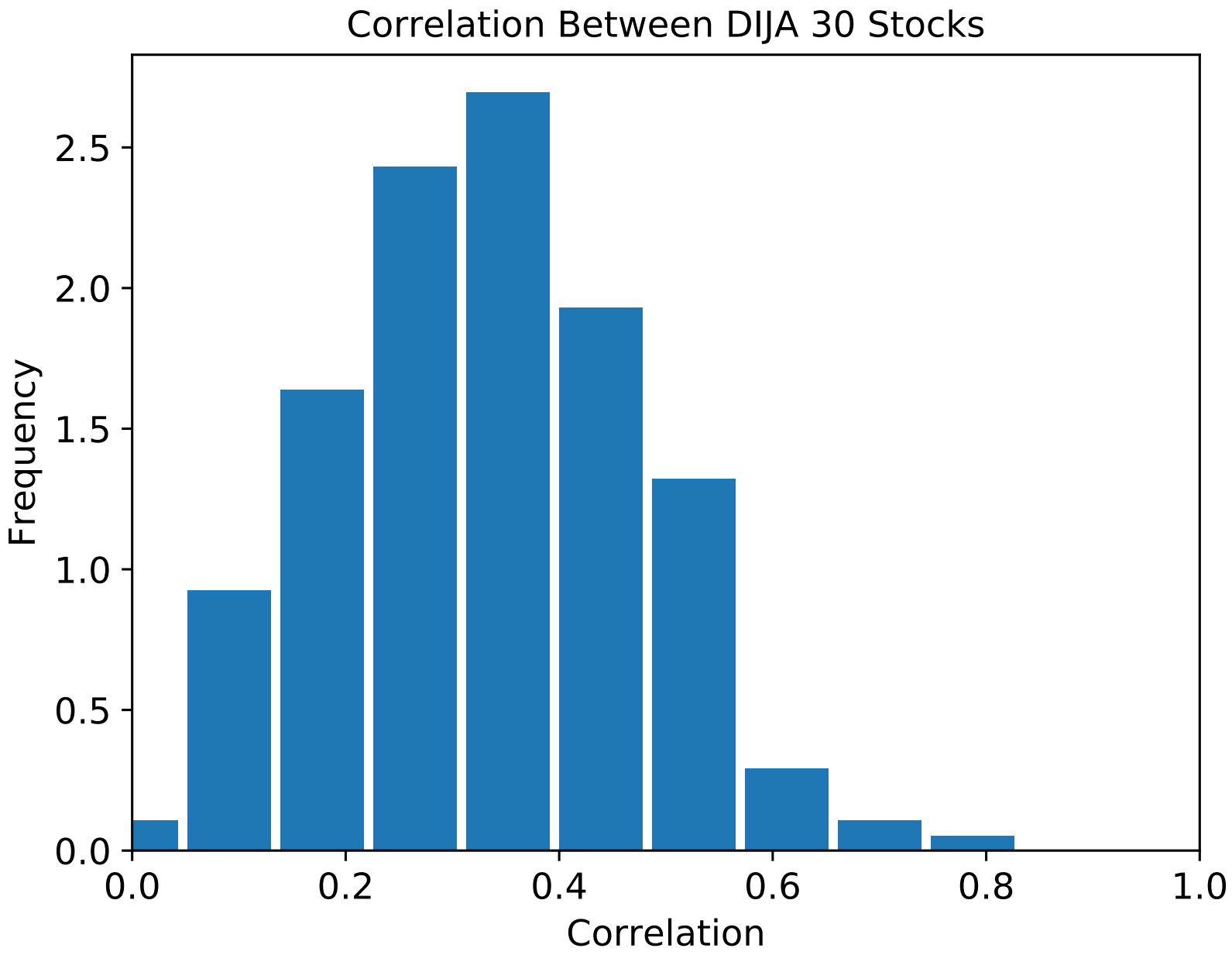
given an expected return μ

$$\mu = \mathrm{E}[R_P] = \mathrm{E}[x_1 R_1 + x_2 R_2 + \cdots + x_N R_N] \tag{12}$$

and $x_1 + x_2 + \cdots + x_N = 1$

- One can solve this problem using *quadratic programming*

Correlations



Special Cases

1. If the stocks are uncorrelated, the portfolio has mean and variance

$$\mathrm{E}[R_P] = x_1\mathrm{E}[R_1] + x_2\mathrm{E}[R_2] + \cdots + x_N\mathrm{E}[R_N] \tag{13}$$

$$\mathrm{Var}[R_P] = x_1^2\mathrm{Var}[R_1] + x_2^2\mathrm{Var}[R_2] + \cdots + x_N^2\mathrm{Var}[R_N] \tag{14}$$

2. An equally weighted portfolio of N independent, identically distributed stocks with mean μ, variance σ^2, and correlation ρ has mean and variance

$$\mathrm{E}[R_P] = \mu \tag{15}$$

$$\mathrm{Var}[R_P] = \sigma^2\left(\frac{1}{N} + \left(1 - \frac{1}{N}\right)\rho\right) \tag{16}$$

Note that $\mathrm{Var}[R_P] \to \rho\sigma^2$ as $N \to \infty$

Example 5

The average standard deviation and correlation of stocks in the Dow Jones Industrial Average are 5.72% and 0.33 respectively. What is the standard deviation of an equally-weighted portfolio of 2 stocks? 4 stocks? 8 stocks?

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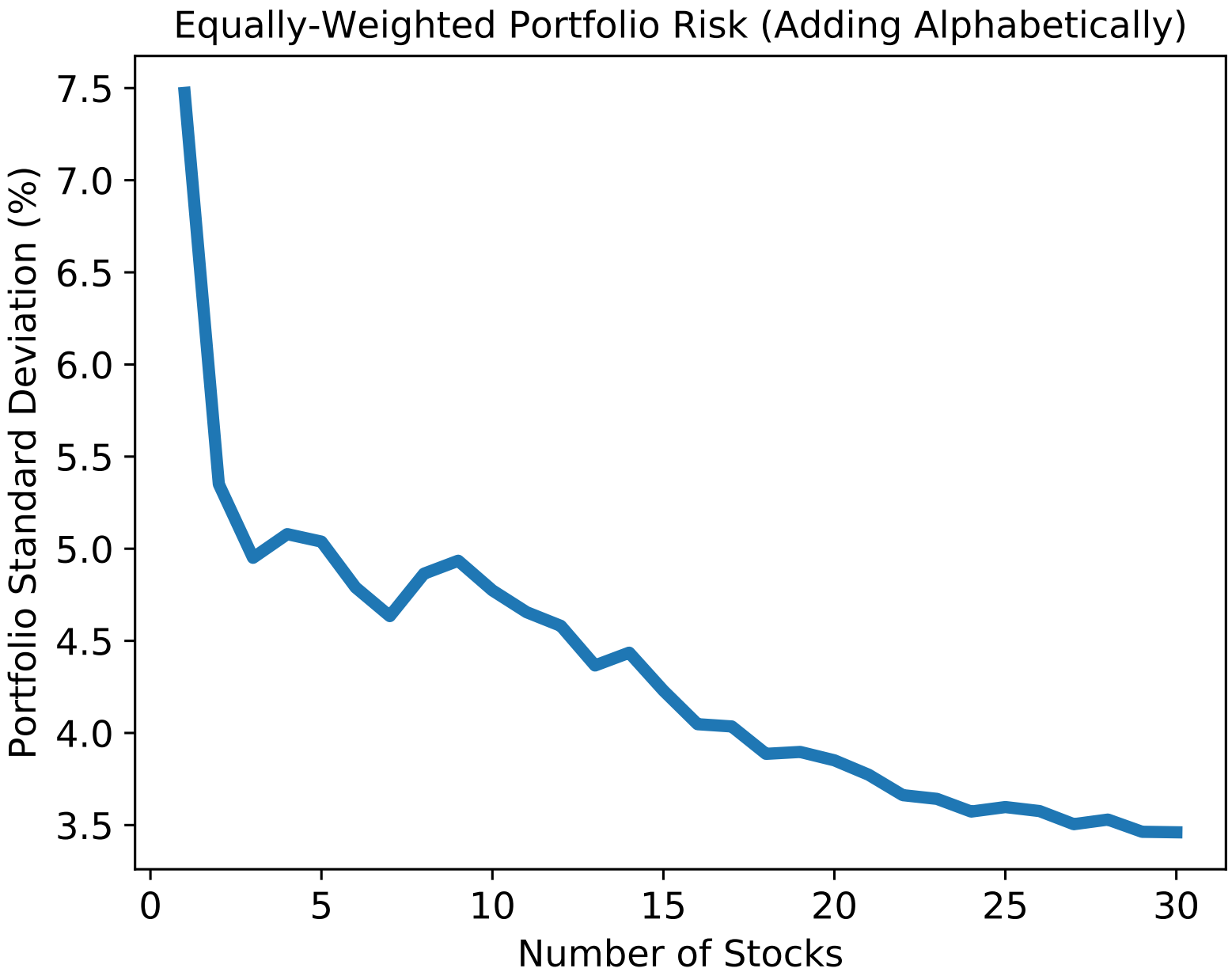
The average standard deviation and correlation of stocks in the Dow Jones Industrial Average are 5.72% and 0.33 respectively. What is the standard deviation of an equally-weighted portfolio of 2 stocks? 4 stocks? 8 stocks?

$$\mathrm{SD}[R_{2\ \mathrm{Stocks}}] = \sqrt{(.0572)^2\left(\frac{1}{2} + \left(1 - \frac{1}{2}\right)(0.33)\right)} = 4.6645\%$$

$$\mathrm{SD}[R_{4\ \mathrm{Stocks}}] = \sqrt{(.0572)^2\left(\frac{1}{4} + \left(1 - \frac{1}{4}\right)(0.33)\right)} = 4.0345\%$$

$$\mathrm{SD}[R_{8\ \mathrm{Stocks}}] = \sqrt{(.0572)^2\left(\frac{1}{8} + \left(1 - \frac{1}{8}\right)(0.33)\right)} = 3.6793\%$$

The Value of Diversification